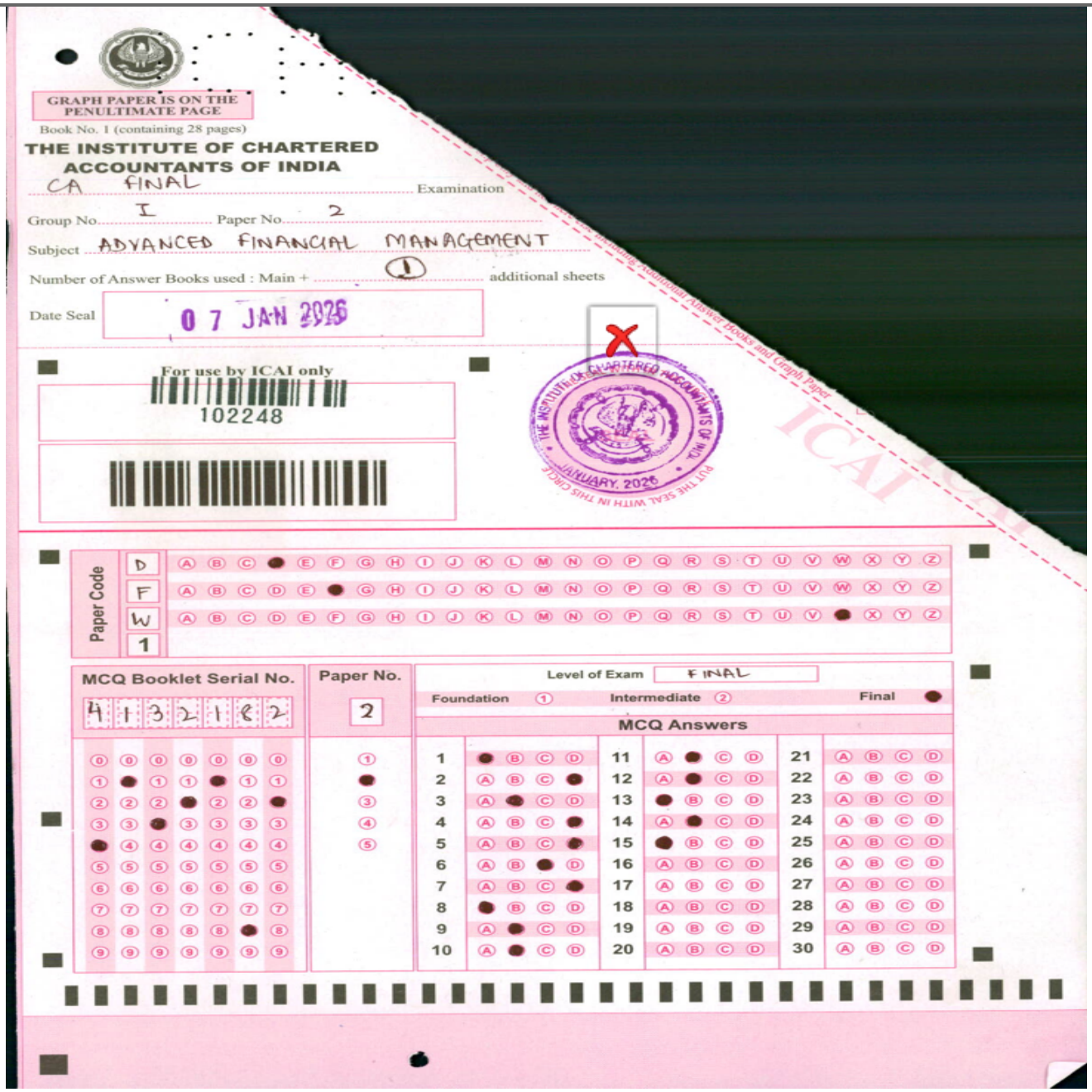
The Institute of Chartered Accountants of India

Code: FN2AF102248 **Total Marks:** 70

Subject : 02 Advanced Financial Management **Marks Obtained :** 54



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examination

Group No. I Paper No. 2

Subject ADVANCED FINANCIAL MANAGEMENT

Number of Answer Books used : Main + (1) additional sheets

Date Seal 07 JAN 2026

For use by ICAI only

102248

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA JANUARY, 2026 PUT THE SEAL WITH IN THIS CIRCLE

Paper Code: D F W 1

MCQ Booklet Serial No. 4 1 3 2 1 8 2

Paper No. 2

Level of Exam FINAL

Foundation (1) Intermediate (2) Final ●

MCQ Answers

1	B	11	A	21					
2	D	12	A	22					
3	C	13	B	23					
4	D	14	A	24					
5	C	15	B	25					
6	C	16		26					
7	D	17		27					
8	B	18		28					
9	C	19		29					
10	C	20		30					

The Institute of Chartered Accountants of India

Code: FN2AF102248 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 54

DATE

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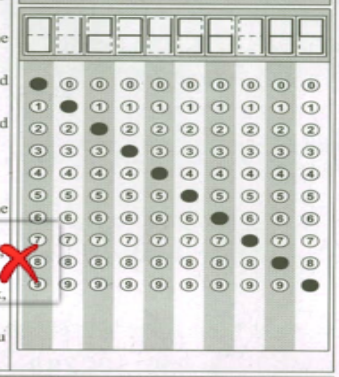
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nswer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.



RUCTIONS TO THE CANDIDATE FOR FILLING THE MCQ ANSWER FIELDS

y **H.B. Pencil to Darken the appropriate Circle.**

and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

n case any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

3. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD	WRONG METHOD
Ⓐ ● Ⓒ Ⓓ	✗ ✓ ● ○

Q. No.	To be ticked ☑ by the candidate against the Questions answered (Descriptive Type)		
1	☑	8	☐
2	☑	9	☐
3	☑	10	☐
4	☑	11	☐
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7	☐	14	☐
Total		Total	

03

Ques 1 (a)

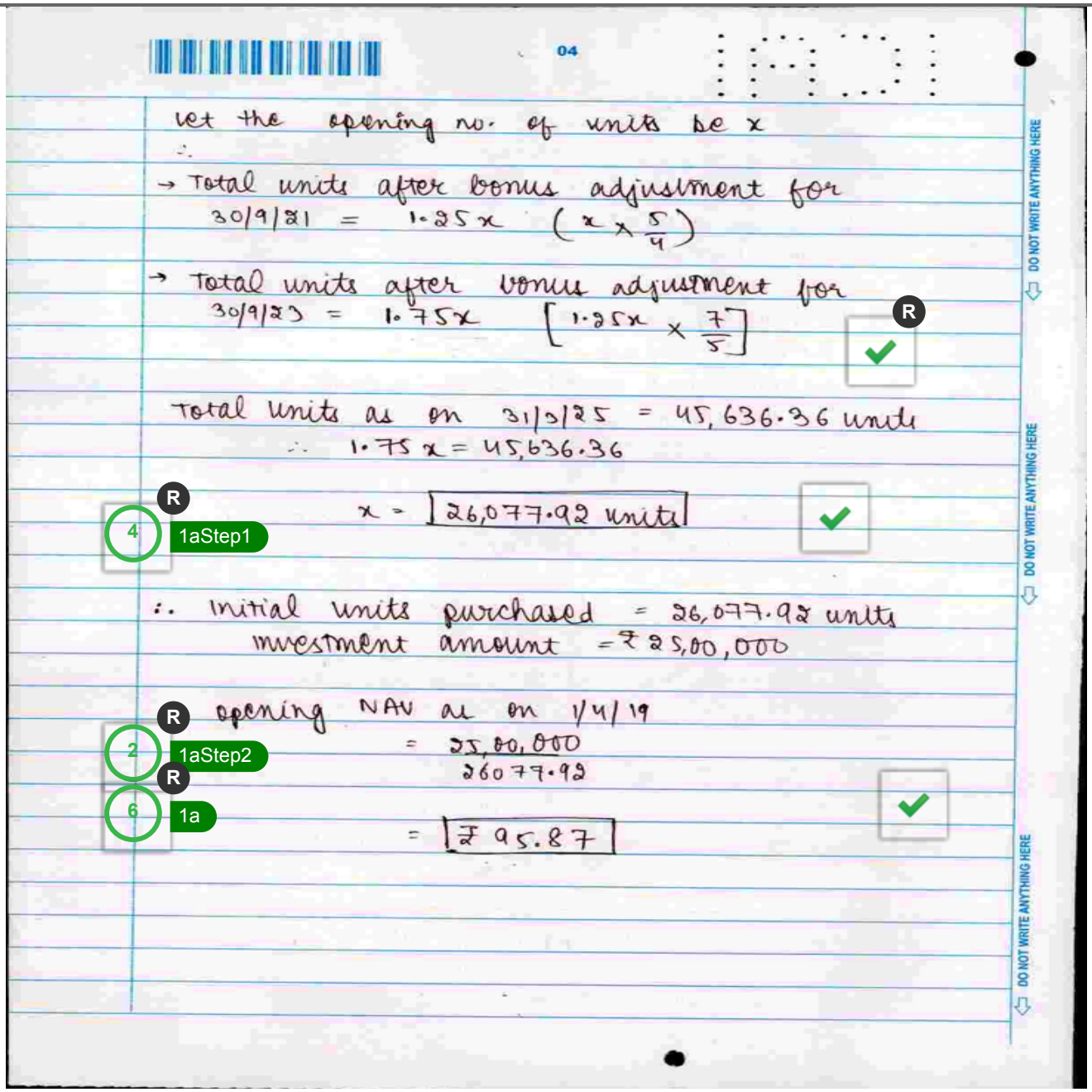
→ Fund launch date : 01 April 2019
Lumpsum investment by: ₹25,00,000
Ms. Investor

As of 31st March 2025,
Average annual Yield = 16.80%.
Time period for which investment is held = 6 years
∴ Total Yield = 16.80% × 6
= 100.80%

∴ Value of investment as on 31/3/25
= 25,00,000 + (100.80% of 25,00,000)
= ₹ 50,20,000 ✔

→ NAV as on 31/3/25 = 110 (given)
→ ∴ No. of units held as on 31/3/25 = $\frac{50,20,000}{110}$
= 45,636.36 units ✔

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04

let the opening no. of units be x

→ Total units after bonus adjustment for 30/9/21 = $1.25x$ $\left(x \times \frac{5}{4}\right)$

→ Total units after bonus adjustment for 30/9/23 = $1.75x$ $\left[1.25x \times \frac{7}{5}\right]$

R

Total units as on 31/3/25 = 45,636.36 units

$\therefore 1.75x = 45,636.36$

$x =$ 26,077.92 units

R 4 1aStep1

$\therefore$ Initial units purchased = 26,077.92 units
investment amount = ₹ 25,00,000

R 2 1aStep2

opening NAV as on 1/4/19
= 25,00,000 / 26077.92

R 6 1a

= ₹ 95.87

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05

Ques 1 (d)

→ Promoter holding = 84%
No. of shares held = 126 lakhs.
by Promoters

∴ Total no. of shares in the company = $\frac{126}{0.84}$ = 150 lakhs (A)

As per SEBI guidelines, promoters have to restrict their holding to 75%. The co. will issue bonus shares to the minority shareholders
∴ Promoter shares will remain the same

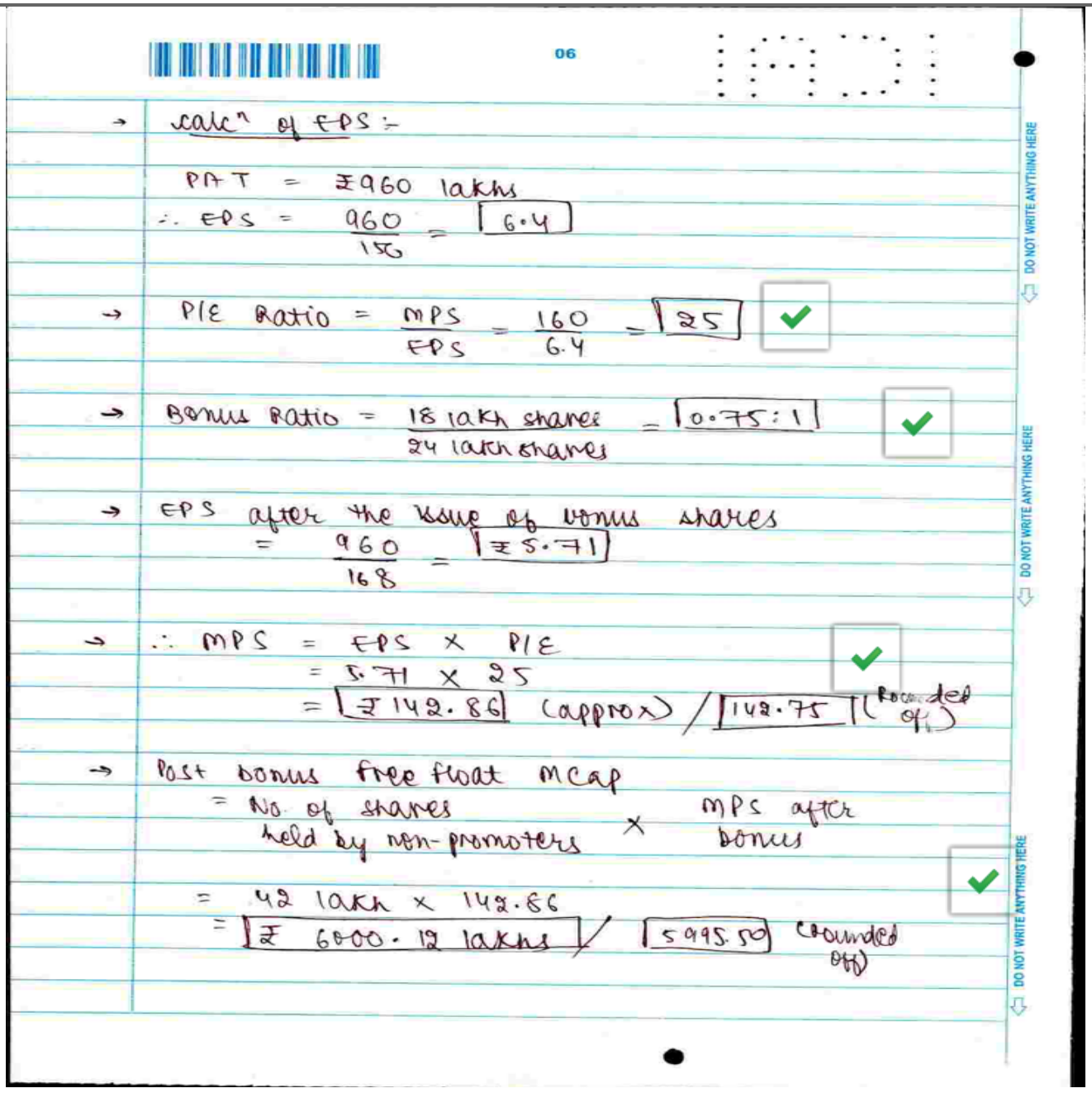
∴ Total no. of shares after issue of bonus shares = $\frac{126}{0.75}$ = 168 lakhs (B)

No. of shares to be issued = B − A
= 168 − 150
= 18 lakh shares

→ Free float Mcap = 3840 lakhs
∴ Total Mcap = $\frac{3840}{0.16}$ = ₹ 24,000 lakhs

→ Market Price per share = $\frac{\text{Total Mcap}}{\text{Total shares}}$
= $\frac{24,000}{150}$ = ₹ 160

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06

→ calc^n of EPS :-

PAT = ₹960 lakhs

∴ EPS = $\frac{960}{150}$ = 6.4

→ P/E Ratio = $\frac{MPS}{EPS} = \frac{160}{6.4}$ = 25 ✔

→ Bonus Ratio = $\frac{18 \text{ lakh shares}}{24 \text{ lakh shares}}$ = 0.75 : 1 ✔

→ EPS after the issue of bonus shares

= $\frac{960}{168}$ = ₹5.71

→ ∴ MPS = EPS × P/E

= 5.71 × 25

= ₹142.86 (approx) / 142.75 (Rounded off) ✔

→ Post bonus free float Mcap

= No. of shares held by non-promoters × MPS after bonus

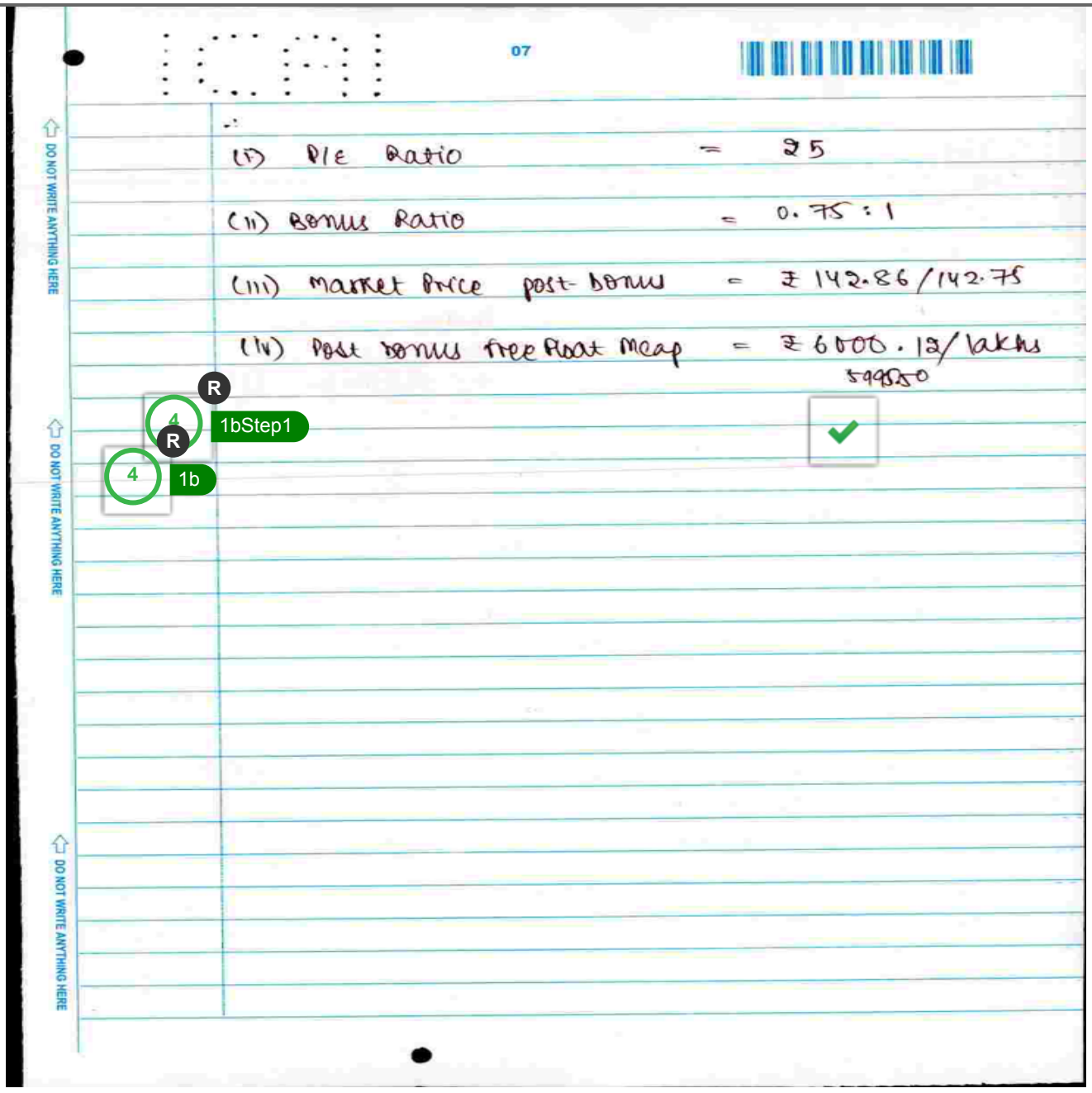
= 42 lakh × 142.86

= ₹6000.12 lakhs / 5995.50 (rounded off) ✔

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07
(i) P/E Ratio = 25
(ii) Bonus Ratio = 0.75 : 1
(iii) Market Price post-bonus = ₹ 142.86 / 142.75
(iv) Post bonus free float mcap = ₹ 6000.12/ lakhs
599850
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1bStep1
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08

Ques 1 (c)

→ Net Profit / loss in various scenarios :-

(1.) Share Price remains unchanged at ₹550

Both call option and Put option will not be exercised. ~~and will~~ Therefore, premium paid is the loss to Ms. Priya

Loss on European call option :-

Payoff on exercise	-
(-) Premium paid	(42)
loss per share →	(42)

Loss on Put Option :-

Payoff on exercise	-
(-) Premium paid	(8)
loss per share →	(8)

Total loss
= 42 x 150 + 8 x 150
= ₹ 7500

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09

(ii) When share price declines to ₹380
Put will be exercised while call option will expire

Loss on call option = ₹ 42 × 150 = ₹ 6300 (A)

Profit on Put option

	₹
Payoff on exercise (480-380)	100
↳ Premium paid	(8)
Gain	92

Total Gain = 92 × 150 = ₹ 13800 (B)

Net Gain = ₹ 13,800 - ₹ 6,300
= ₹ 7,500

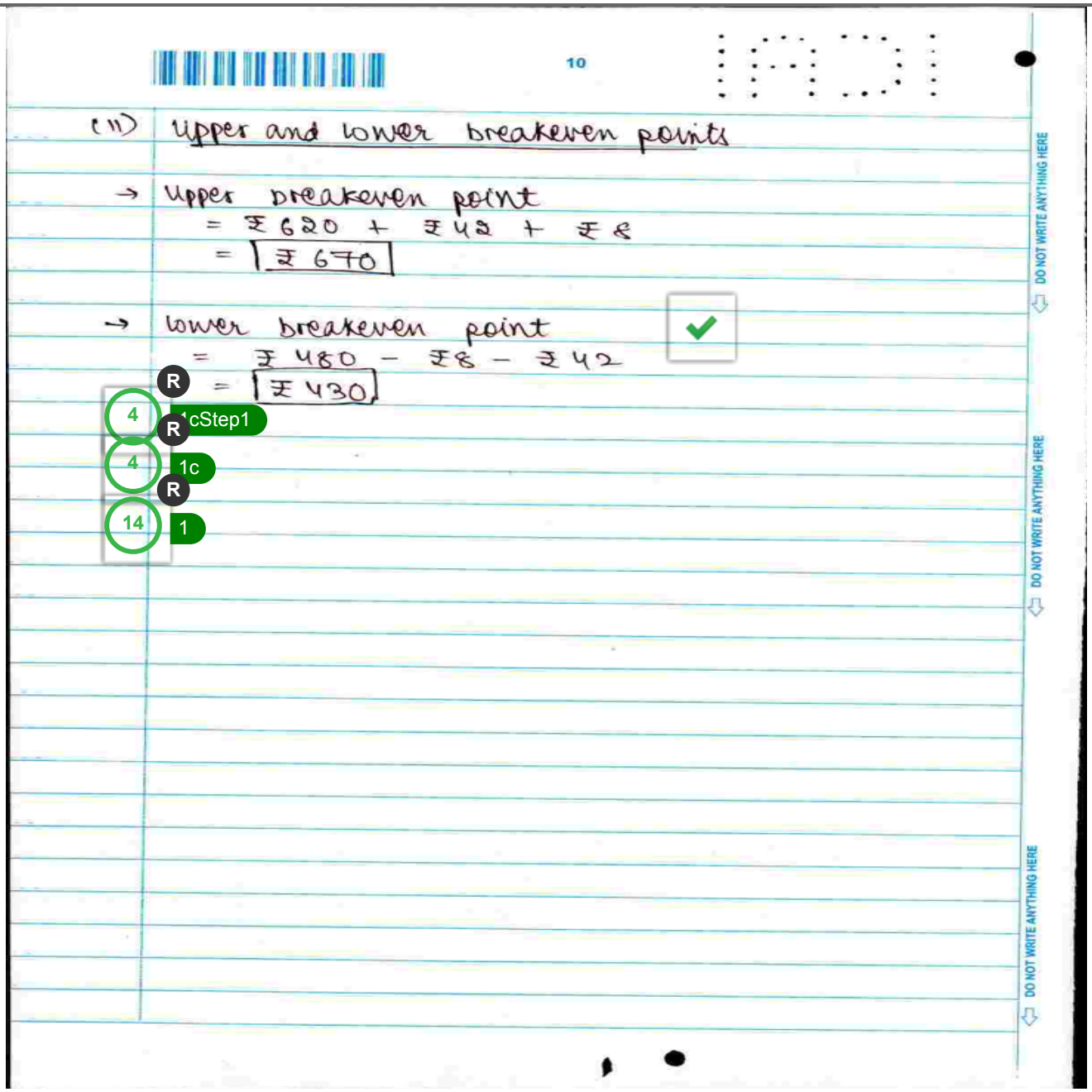
(iii) When share appreciates to ₹680
call option will be exercised & put will expire

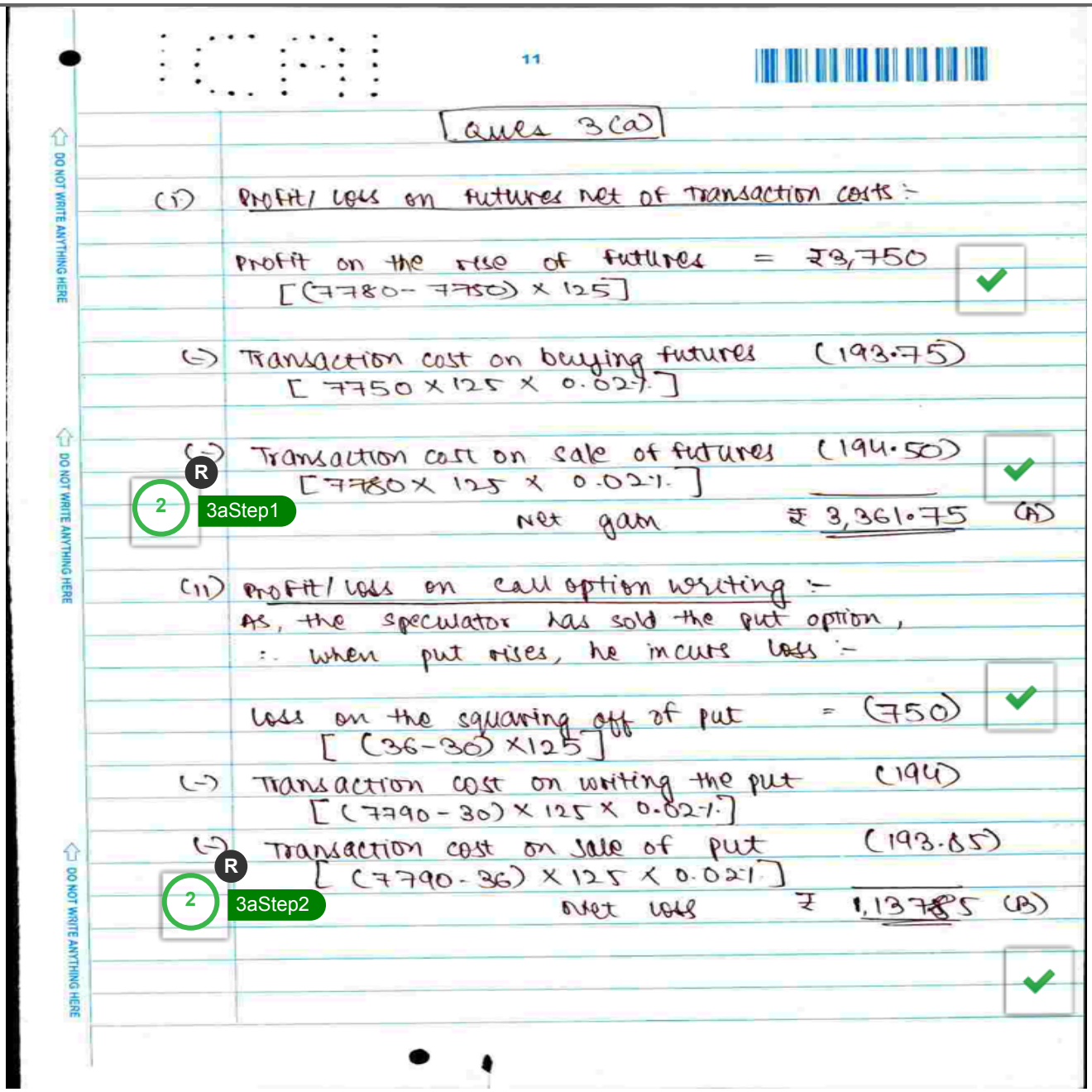
Gain on call option

	₹
Payoff on exercise (680-620)	60
↳ Premium paid	(42)
Gain per share	18

Loss on Put option = ₹ 8 per share

∴ Net Gain = (18 × 150) - (8 × 150)
= ₹ 1500


10
(ii) Upper and lower breakeven points
→ Upper breakeven point
= ₹620 + ₹42 + ₹8
= ₹670
→ lower breakeven point
= ₹480 − ₹8 − ₹42
= ₹430
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11

Ques 3(a)

(i) Profit/ loss on futures net of transaction costs :-

Profit on the rise of futures = ₹3,750
[(7780 - 7750) × 125]

(-) Transaction cost on buying futures (193.75)
[7750 × 125 × 0.02%]

(-) Transaction cost on sale of futures (194.50)
[7780 × 125 × 0.02%]

Net gain ₹ 3,361.75 (A)

(ii) Profit/ loss on call option writing :-
As, the speculator has sold the put option,
∴ when put rises, he incurs loss :-

Loss on the squaring off of put = (750)
[(36 - 30) × 125]

(-) Transaction cost on writing the put (194)
[(7790 - 30) × 125 × 0.02%]

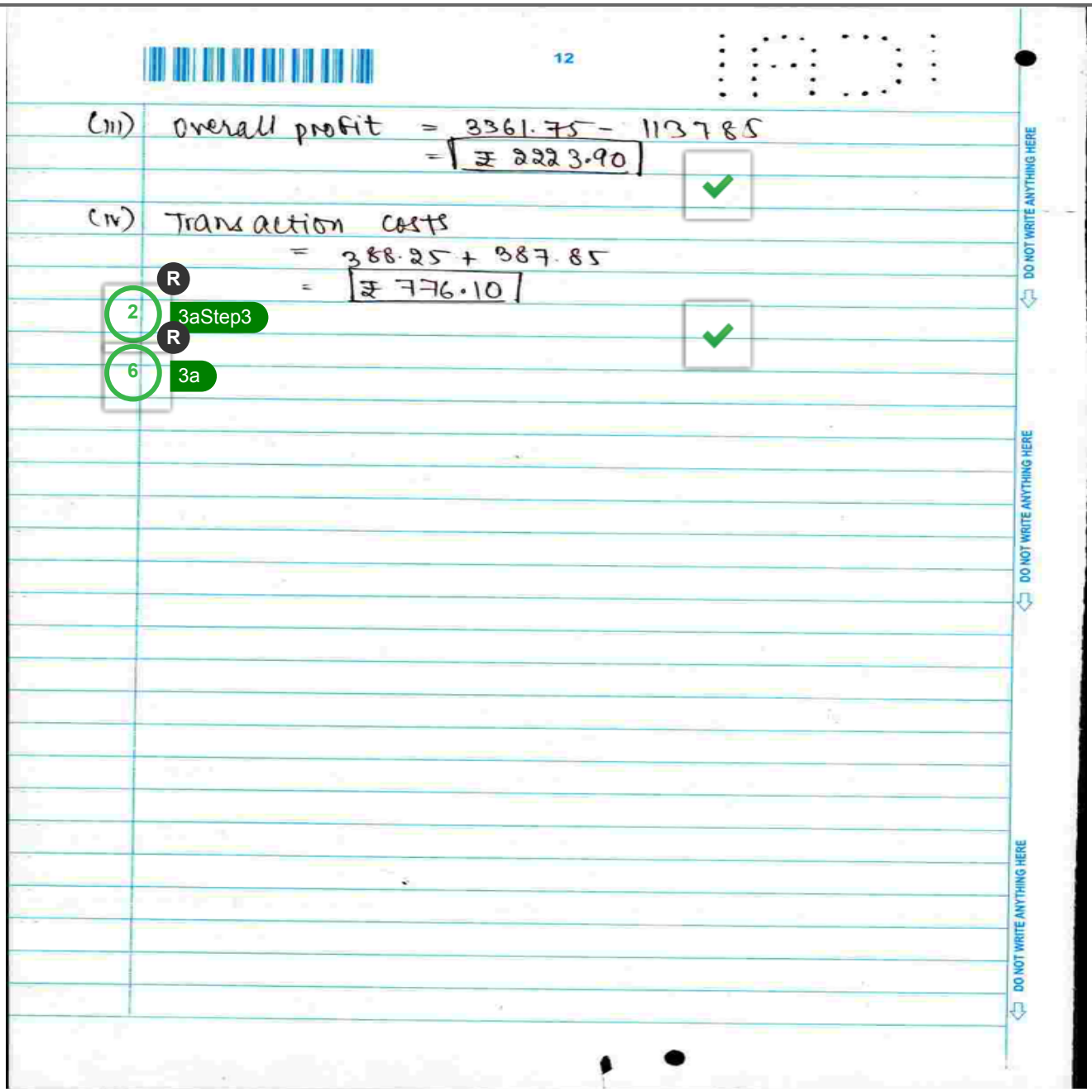
(-) Transaction cost on sale of put (193.85)
[(7790 - 36) × 125 × 0.02%]

Net loss ₹ 1,137.85 (B)

R 2 3aStep1

R 2 3aStep2

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12

(iii) Overall profit = 3361.75 − 1137.85
= ₹ 2223.90

(iv) Transaction costs
= 388.25 + 387.85
= ₹ 776.10

R
2 3aStep3
R
6 3a

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13

Ques 3(b)

→ EURO / GBP = 1.2950 / 1.2965 (Direct rate)
→ USD / GBP = 1.6025 / 1.6000
→ USD / EURO = 1.2375 / 1.9000

∴ Our home currency is EURO as direct rate is given.

(i) Rate for EURO / GBP

$= \frac{EURO}{USD} \times \frac{USD}{GBP}$

$= \frac{1}{1.980} \times 1.6025$

$= 0.8434$ 0.8421

(ii) Rate for EURO / GBP

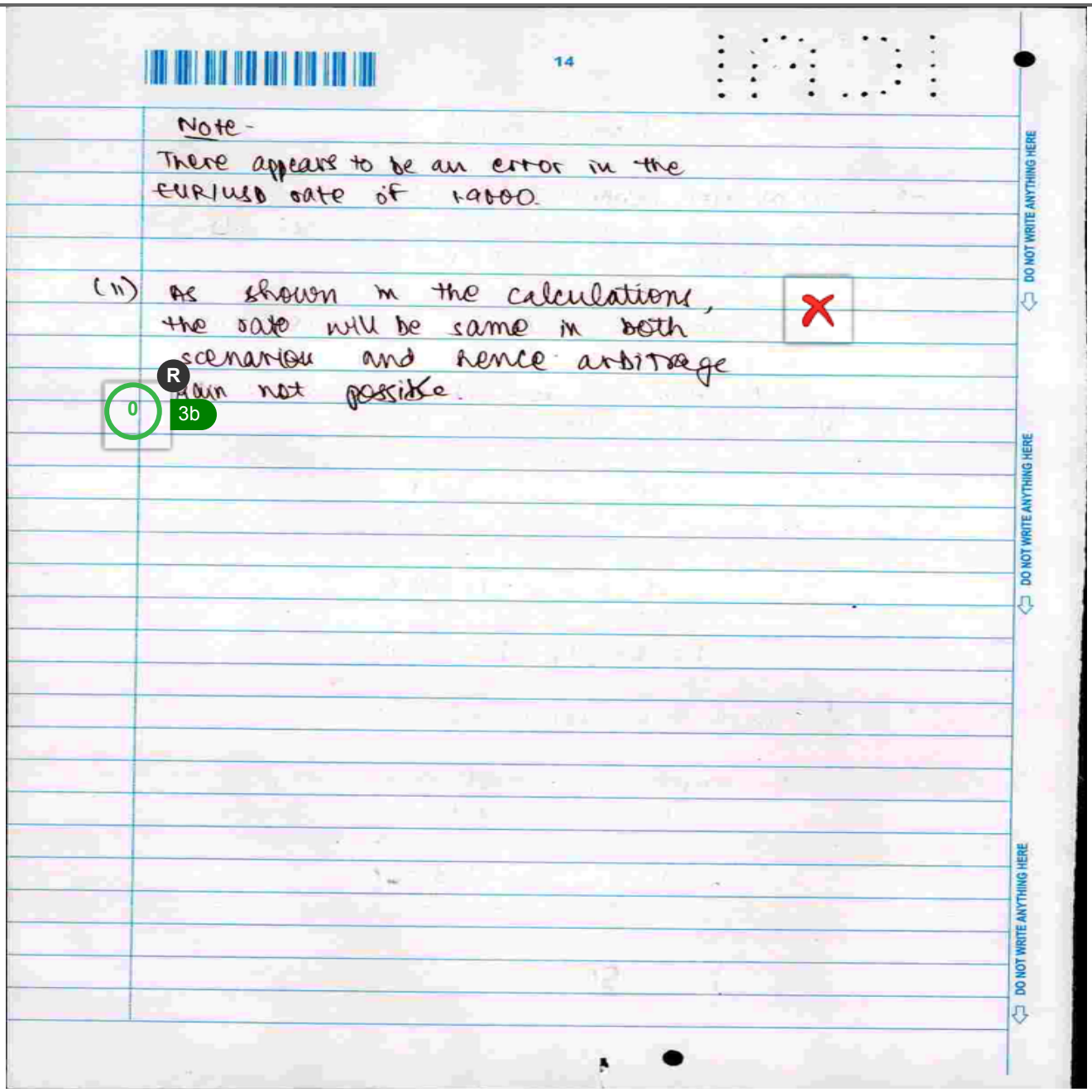
$= \frac{EURO}{USD} \times \frac{USD}{GBP}$

$= \frac{1}{1.2375} \times 1.6025$

$= 1.2950$

R 0 3bStep1

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14

Note -

There appears to be an error in the EUR/USD rate of 1.9000.

(ii) As shown in the calculations, the rate will be same in both scenarios and hence arbitrage gain not possible.

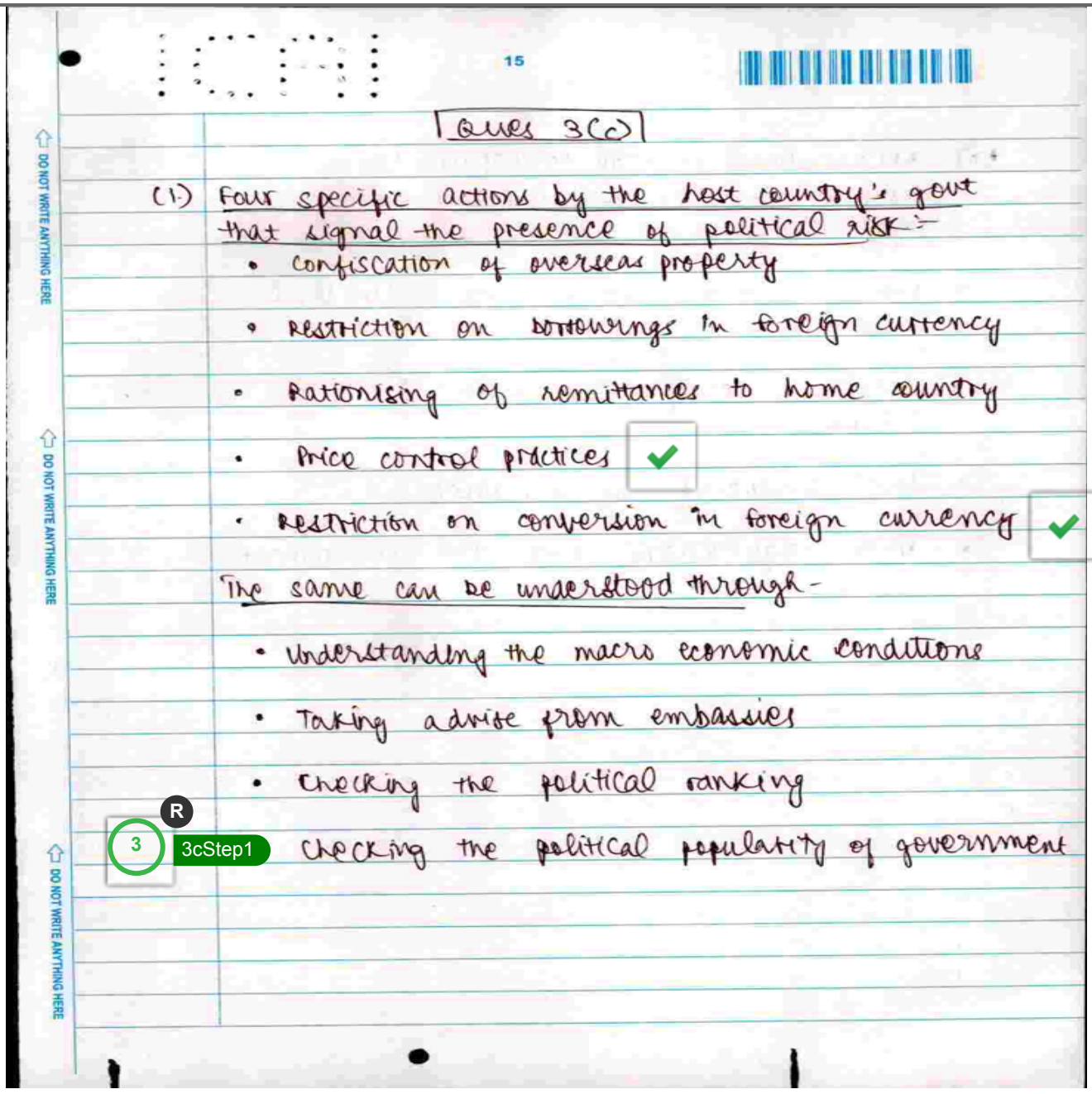
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15

Ques 3(c)

(1.) Four specific actions by the host country's govt that signal the presence of political risk :-

- Confiscation of overseas property
- Restriction on borrowings in foreign currency
- Rationising of remittances to home country
- Price control practices ✔
- Restriction on conversion in foreign currency ✔

The same can be understood through -

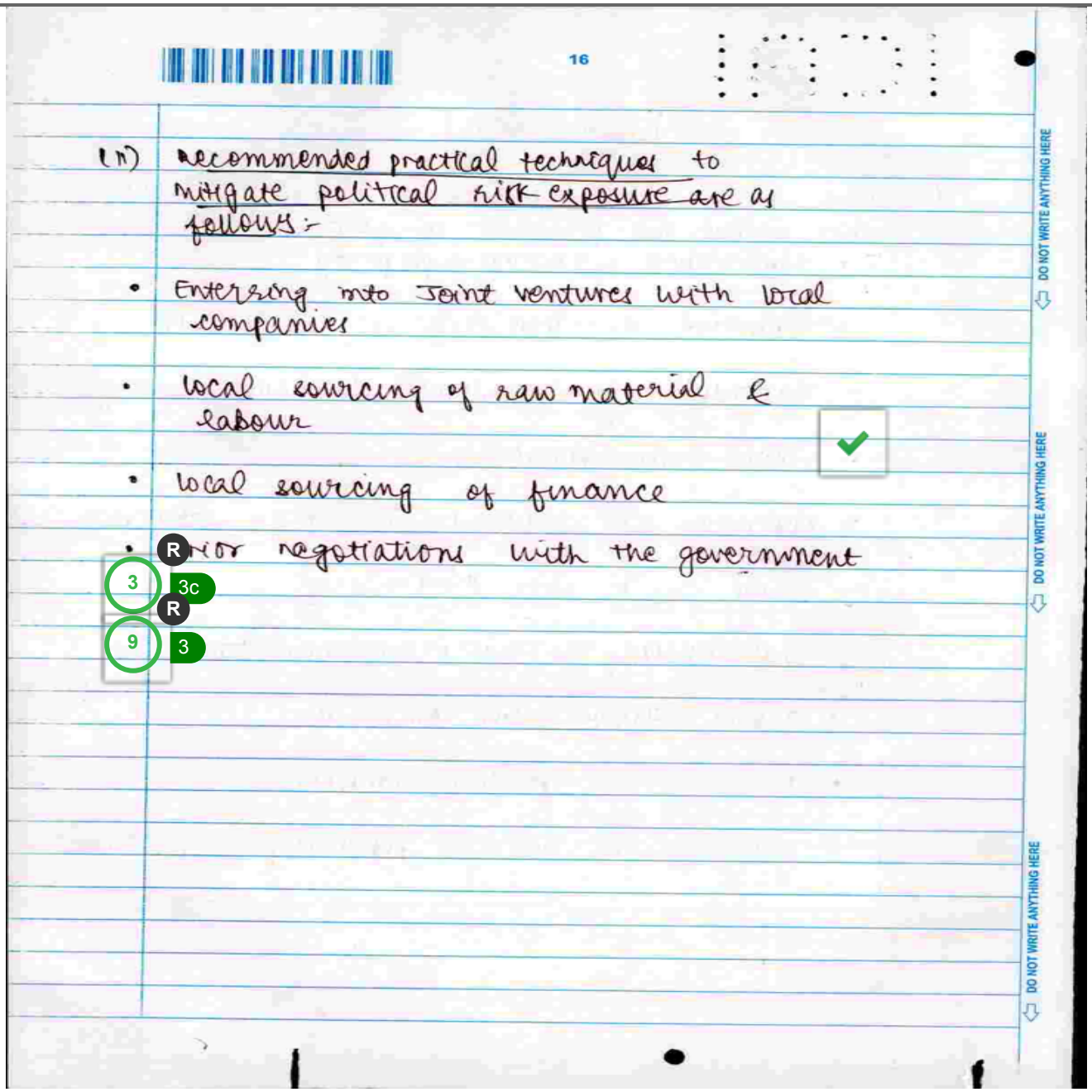
- Understanding the macro economic conditions
- Taking advise from embassies
- Checking the political ranking
- Checking the political popularity of government

R 3 3cStep1

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16

(iv) recommended practical techniques to mitigate political risk exposure are as follows :-

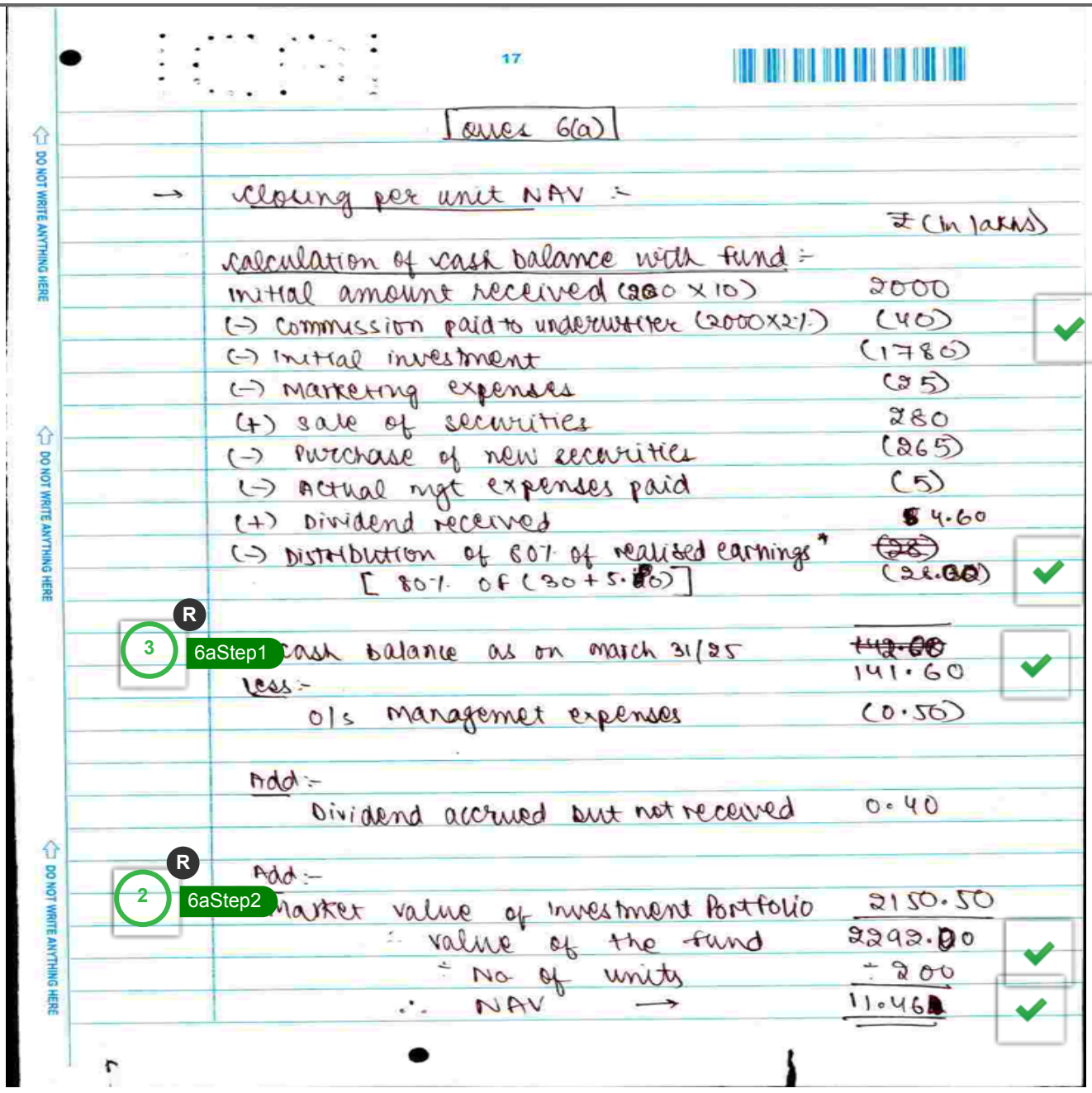
- Entering into Joint ventures with local companies
- local sourcing of raw material & labour
- local sourcing of finance
- Prior negotiations with the government

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17

[ques 6(a)]

→ closing per unit NAV :-

calculation of cash balance with fund :-	₹ (in lakhs)
initial amount received (200 × 10)	2000
(-) commission paid to underwriter (2000×2%)	(40)
(-) initial investment	(1780)
(-) marketing expenses	(25)
(+) sale of securities	280
(-) purchase of new securities	(265)
(-) Actual mgt expenses paid	(5)
(+) Dividend received	4.60
(-) Distribution of 80% of realised earnings* [80% of (30+5.00)]	(28.00)
3 6aStep1 Cash balance as on march 31/25	141.60
less :-	
o/s management expenses	(0.50)
Add :-	
Dividend accrued but not received	0.40
Add :-	
2 6aStep2 Market value of investment Portfolio	2150.50
∴ value of the fund	2292.00
÷ No of units	÷ 200
∴ NAV →	11.46

18

→ * It has been assumed that ~~only~~ full amount the dividend realised in cash will be distributed to shareholders

→ Average funds invested during the year

$$= \frac{\text{opening inv.} + \text{closing inv.}}{2}$$

$$= \frac{2000 + 2297.90 \text{ (excl. mgt fees)}}{2}$$

$$= ₹\ 2148.95$$

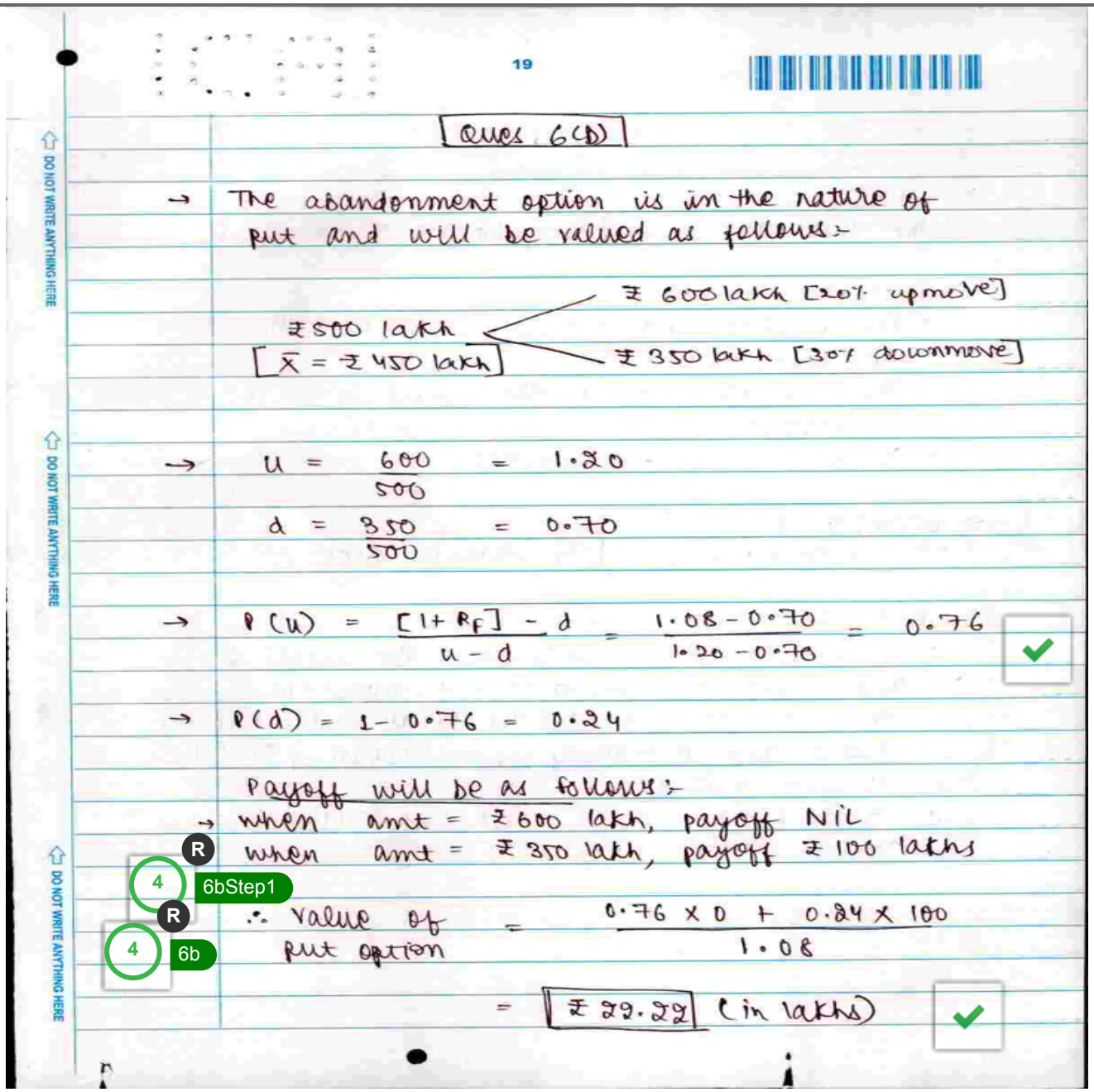
∴ Permissable mgt expenses - 2148.95 × 0.5%
= ₹ 10.75 lakhs (approx)

∴ Mgt expenses are within the limit and no adjustment needed.

→ Since we have hired an underwriter, the underwriter will purchase the shortfall units of 20 lakhs (200 - 180)

R
5 6a

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19

Ques 6(b)

→ The abandonment option is in the nature of put and will be valued as follows:-

₹ 500 lakh [$\bar{x}$ = ₹ 450 lakh]
- ₹ 600 lakh [20% upmove]
- ₹ 350 lakh [30% downmove]

→ $u = \frac{600}{500} = 1.20$

$d = \frac{350}{500} = 0.70$

→ $P(u) = \frac{[1+R_F] - d}{u - d} = \frac{1.08 - 0.70}{1.20 - 0.70} = 0.76$

→ $P(d) = 1 - 0.76 = 0.24$

Payoff will be as follows:-

→ when amt = ₹ 600 lakh, payoff NIL

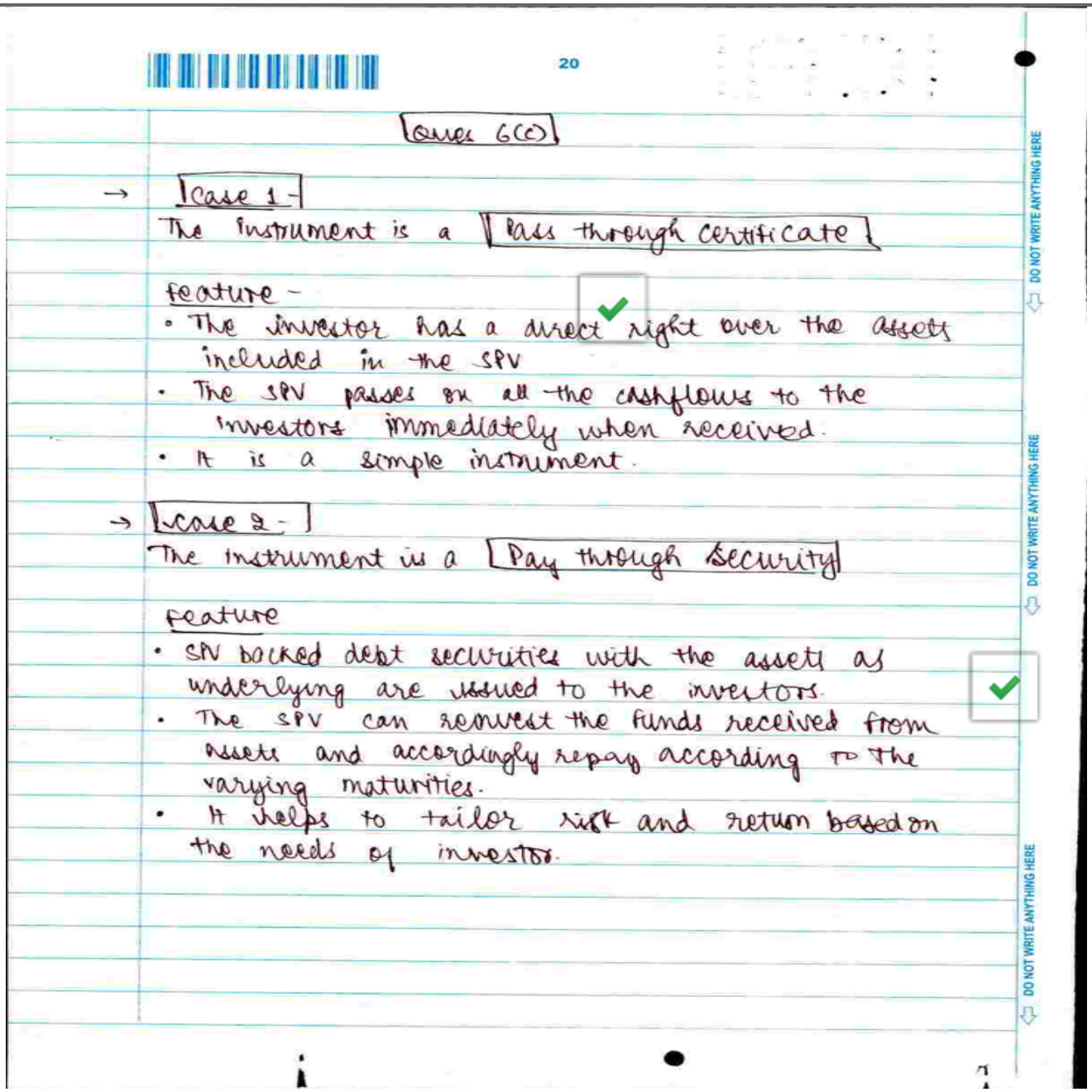
when amt = ₹ 350 lakh, payoff ₹ 100 lakhs

R 4 6bStep1

R 4 6b

∴ Value of put option = $\frac{0.76 \times 0 + 0.24 \times 100}{1.08}$

= ₹ 22.22 (in lakhs)



20

Ques 6(c)

→ Case 1 -

The instrument is a Pass through certificate

feature -

- The investor has a direct right over the assets included in the SPV
- The SPV passes on all the cashflows to the investors immediately when received.
- It is a simple instrument.

→ Case 2 -

The instrument is a Pay through Security

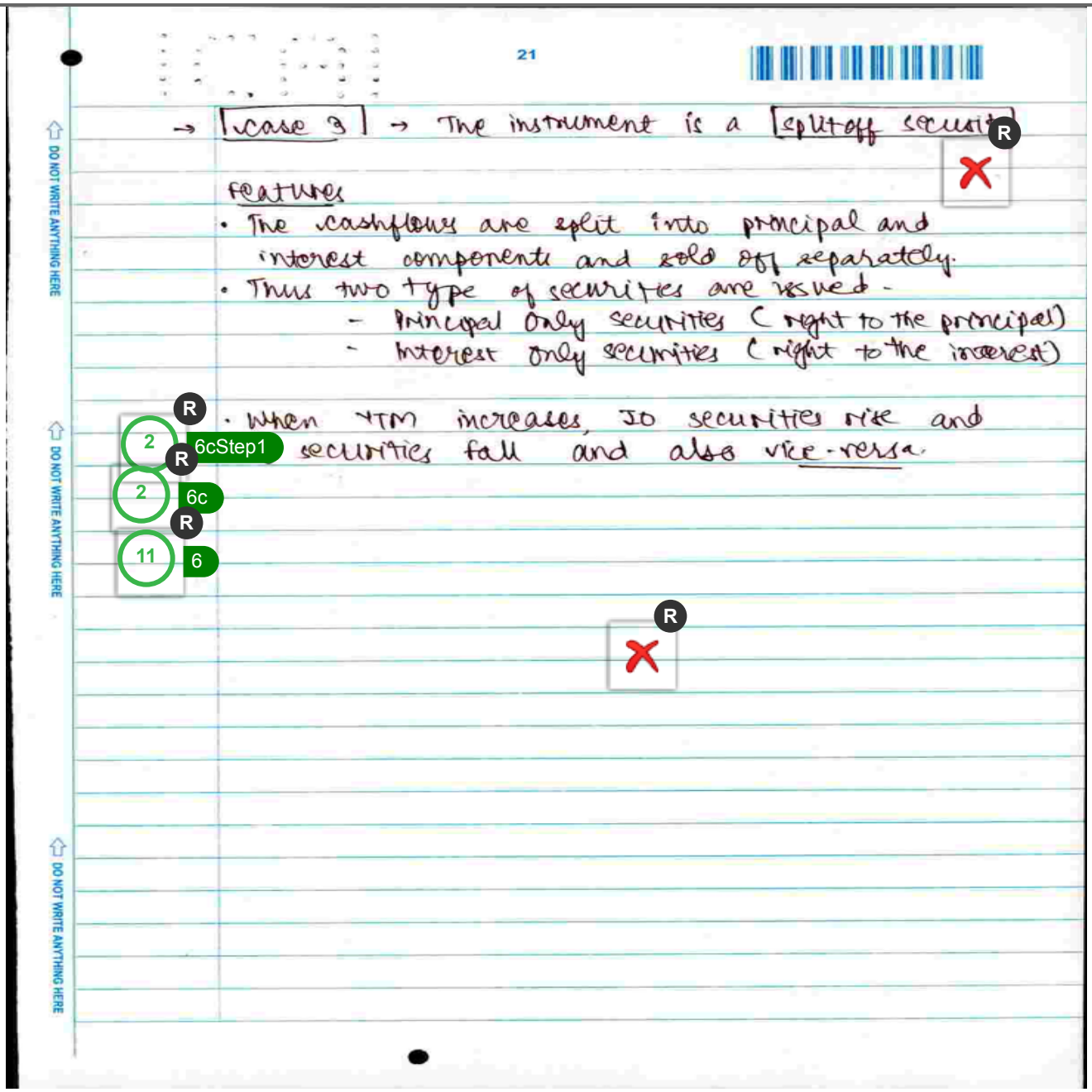
feature

- SPV backed debt securities with the assets as underlying are issued to the investors.
- The SPV can reinvest the funds received from assets and accordingly repay according to the varying maturities.
- It helps to tailor risk and return based on the needs of investor.

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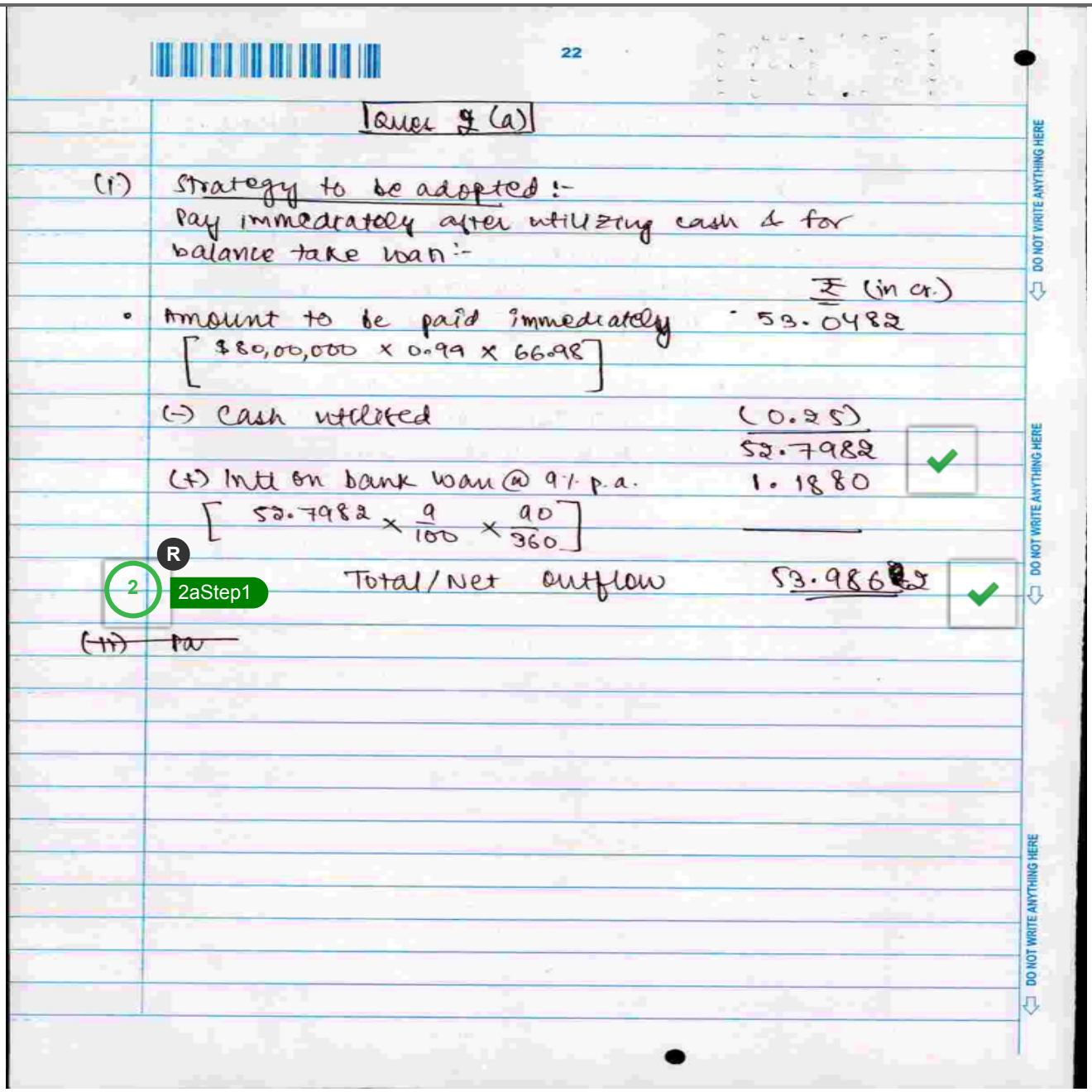
21

→ [case 3] → The instrument is a [splitoff securities]

features

- The cashflows are split into principal and interest components and sold off separately.
- Thus two type of securities are issued -
  - Principal Only securities (right to the principal)
  - Interest only securities (right to the interest)

- When YTM increases, IO securities rise and PO securities fall and also vice-versa.



22

Ques 2 (a)

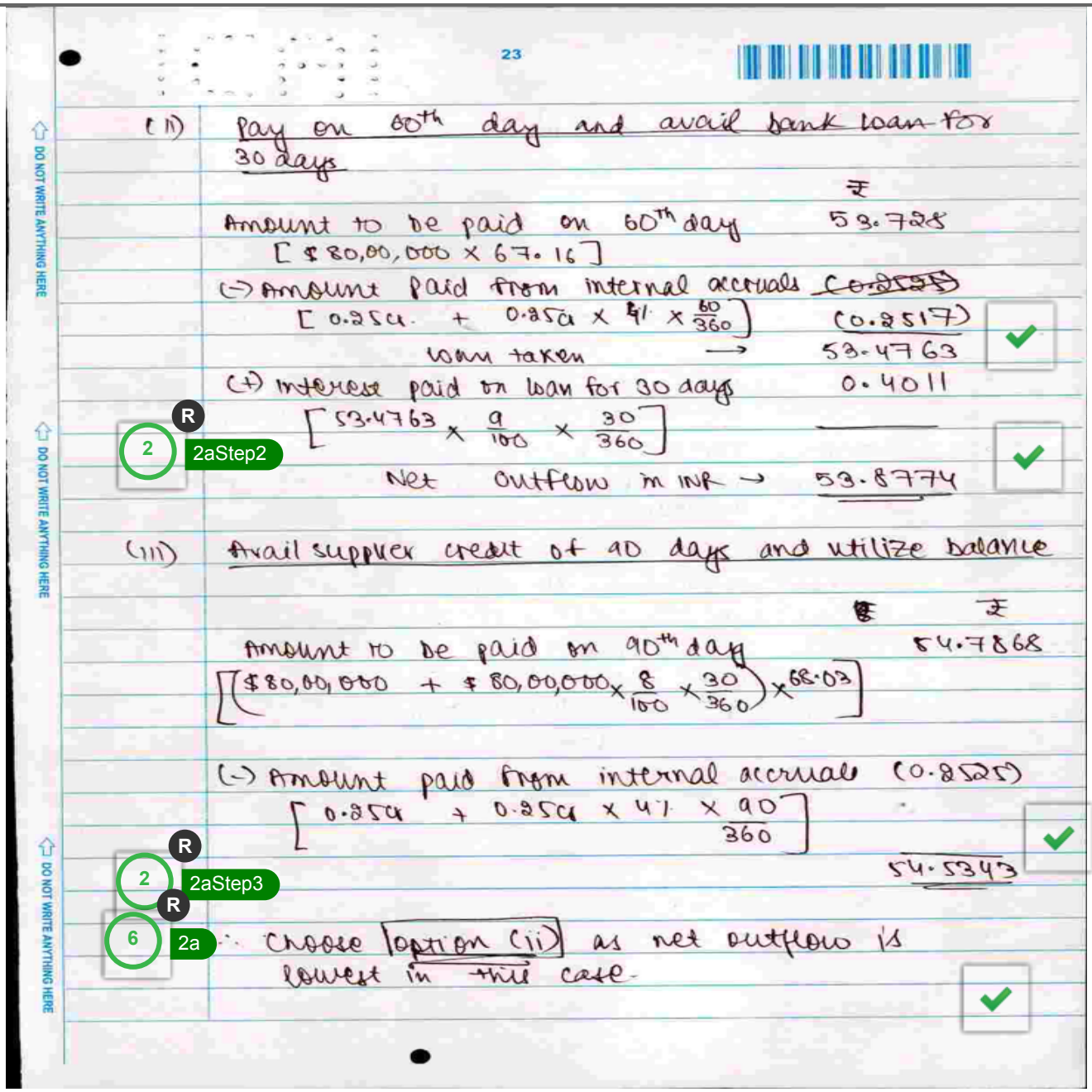
(i) Strategy to be adopted :-
Pay immediately after utilizing cash & for balance take loan :-

	₹ (in cr.)
• Amount to be paid immediately [$80,00,000 × 0.99 × 66.98]	53.0482
(–) Cash utilized	(0.25)
	52.7982
(+) Intt on bank loan @ 9% p.a. [52.7982 × 9/100 × 90/360]	1.1880
Total/Net outflow	53.9862

R
2 2aStep1

(ii) ~~Pa~~

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23

(ii) Pay on 60th day and avail bank loan for 30 days

	₹
Amount to be paid on 60th day [$80,00,000 × 67.16]	53.728
(-) Amount paid from internal accruals [0.25 + 0.25 × 4% × 60/360]	(0.2517)
loan taken →	53.4763
(+) Interest paid on loan for 30 days [53.4763 × 9/100 × 30/360]	0.4011
Net outflow in INR →	53.8774

(iii) Avail supplier credit of 90 days and utilize balance

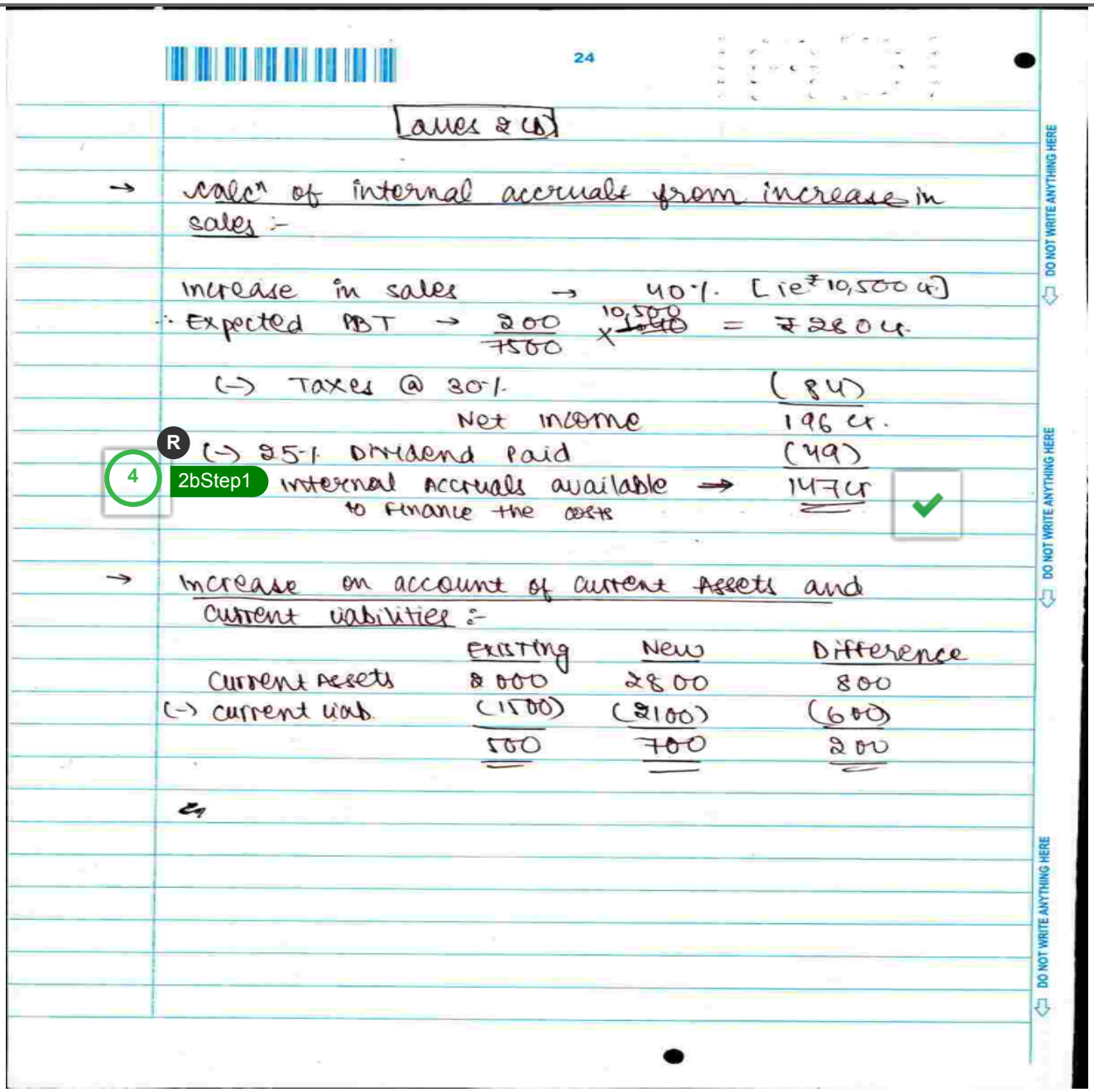
	$	₹
Amount to be paid on 90th day [($80,00,000 + $80,00,000 × 8/100 × 30/360) × 68.03]		54.7868
(-) Amount paid from internal accruals [0.25 + 0.25 × 4% × 90/360]		(0.2525)
		54.5343

∴ Choose option (ii) as net outflow is lowest in this case.

R 2 2aStep2

R 2 2aStep3

R 6 2a



24

Cases 2 (b)

→ Calc" of internal accruals from increase in sales :-

Increase in sales → 40%. [ie ₹10,500 cr.]

∴ Expected PBT → 200/7500 × 10,500 = ₹280 cr.

(-) Taxes @ 30% (84)

Net income 196 cr.

(-) 25% Dividend paid (49)

4 2bStep1 Internal Accruals available → 147 cr

to finance the costs

→ Increase on account of current Assets and current liabilities :-

	Existing	New	Difference
Current Assets	800	2800	800
(-) current liab.	(1500)	(2100)	(600)
	500	700	200

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(2.) When company is operating at 65% capacity usage for fixed assets :-

Sales at 65% capacity → ₹ 7500 Cr.

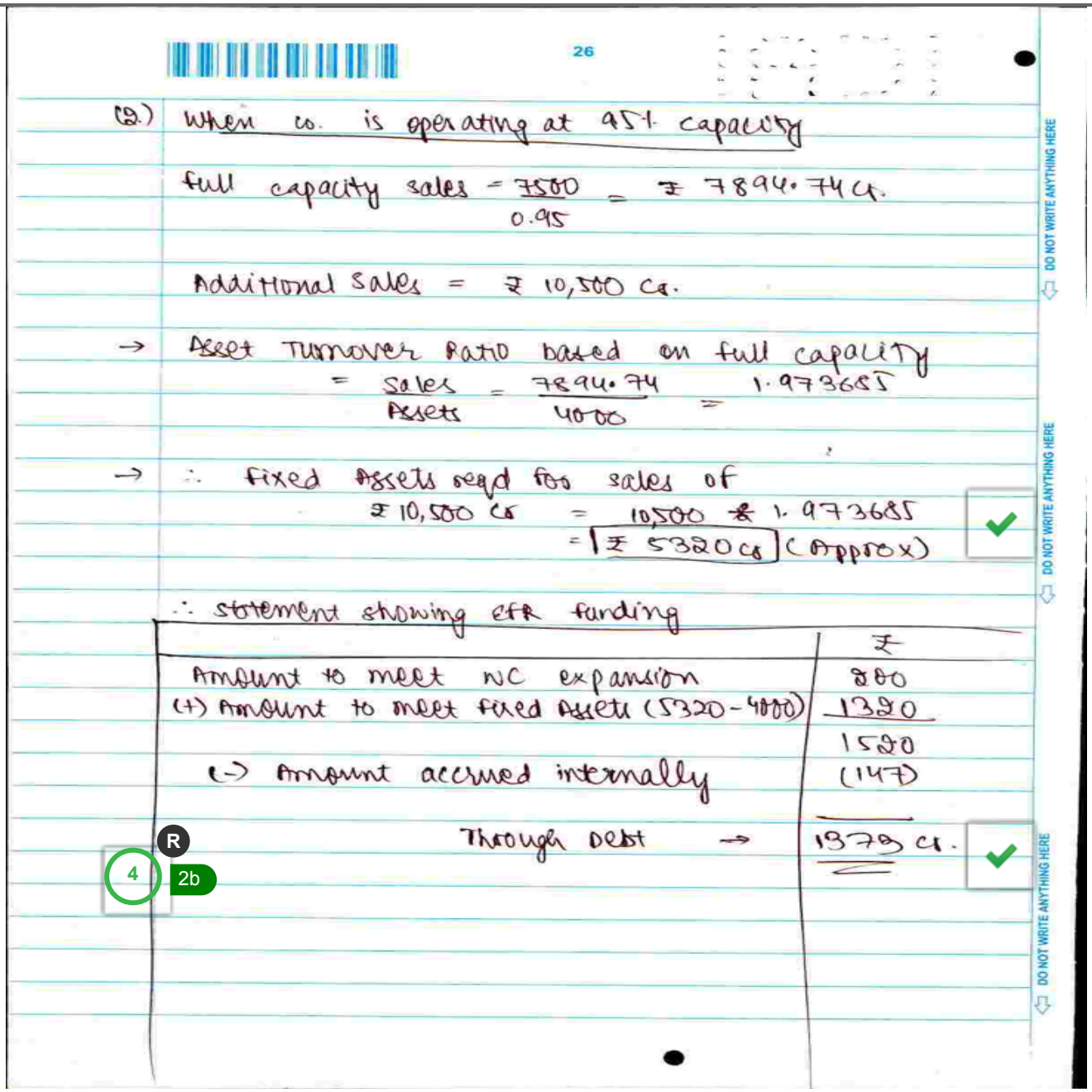
∴ full capacity of assets → $\frac{7500}{0.65}$ = ₹ 11,538.46 Cr.

Since expected sales (₹ 10,500 Cr) is less than the full capacity sales, therefore company need not raise any money to expand its fixed assets.

∴ ~~Total funding need EFR through long term debt~~ = ₹ 300 Cr.
[To meet WC expansion]

(-) ~~Amount~~ accrued internally = (147)

∴ EFR through long Term Debt ⇒ 53 Cr ✓



26

(2.) When co. is operating at 95% capacity

full capacity sales = 7500 / 0.95 = ₹ 7894.74 Cr.

Additional Sales = ₹ 10,500 Cr.

→ Asset Turnover Ratio based on full capacity
= Sales / Assets = 7894.74 / 4000 = 1.973685

→ ∴ Fixed Assets reqd for sales of
₹ 10,500 Cr = 10,500 / 1.973685
= ₹ 5320 Cr (Approx)

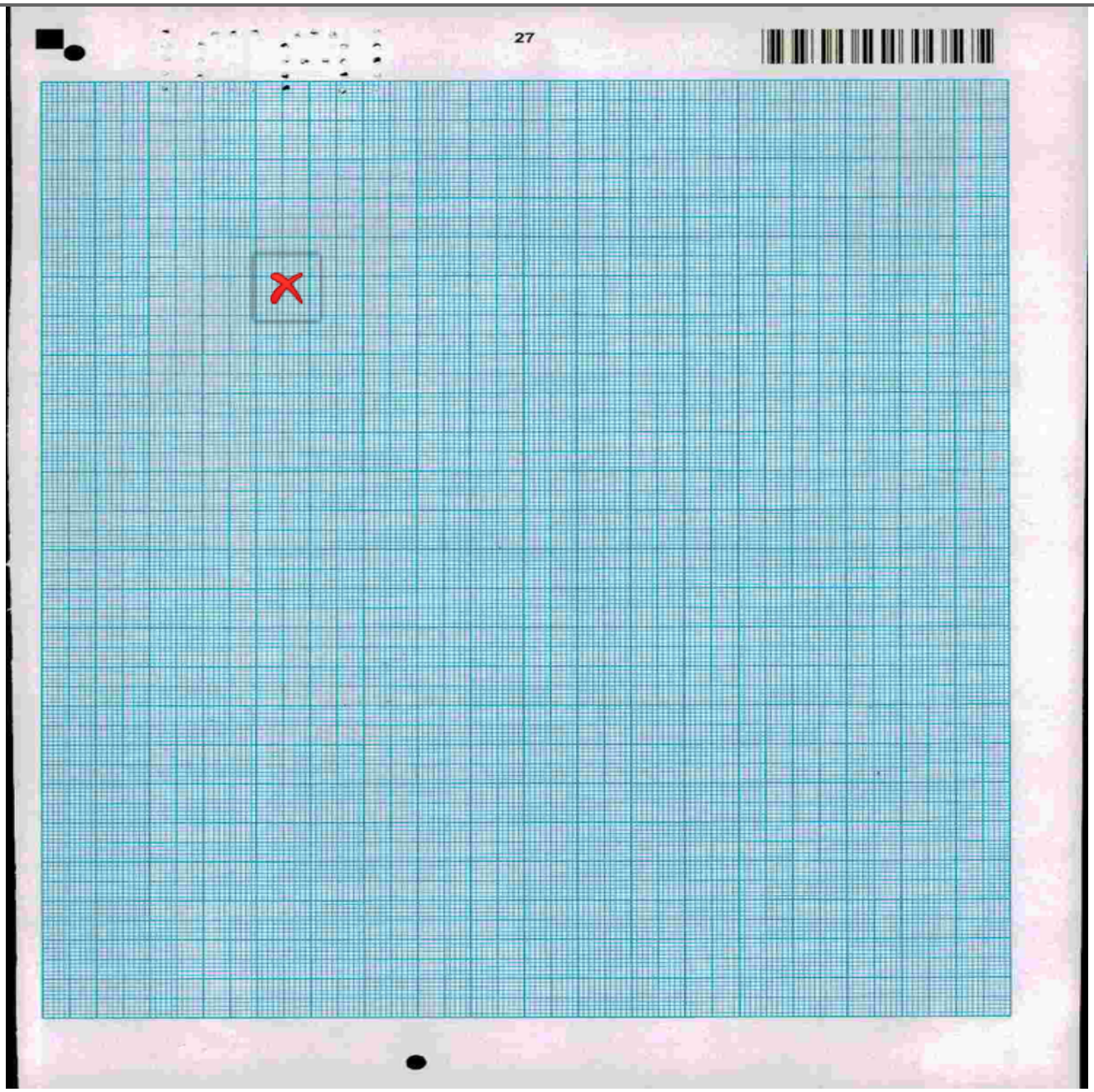
∴ Statement showing eff funding

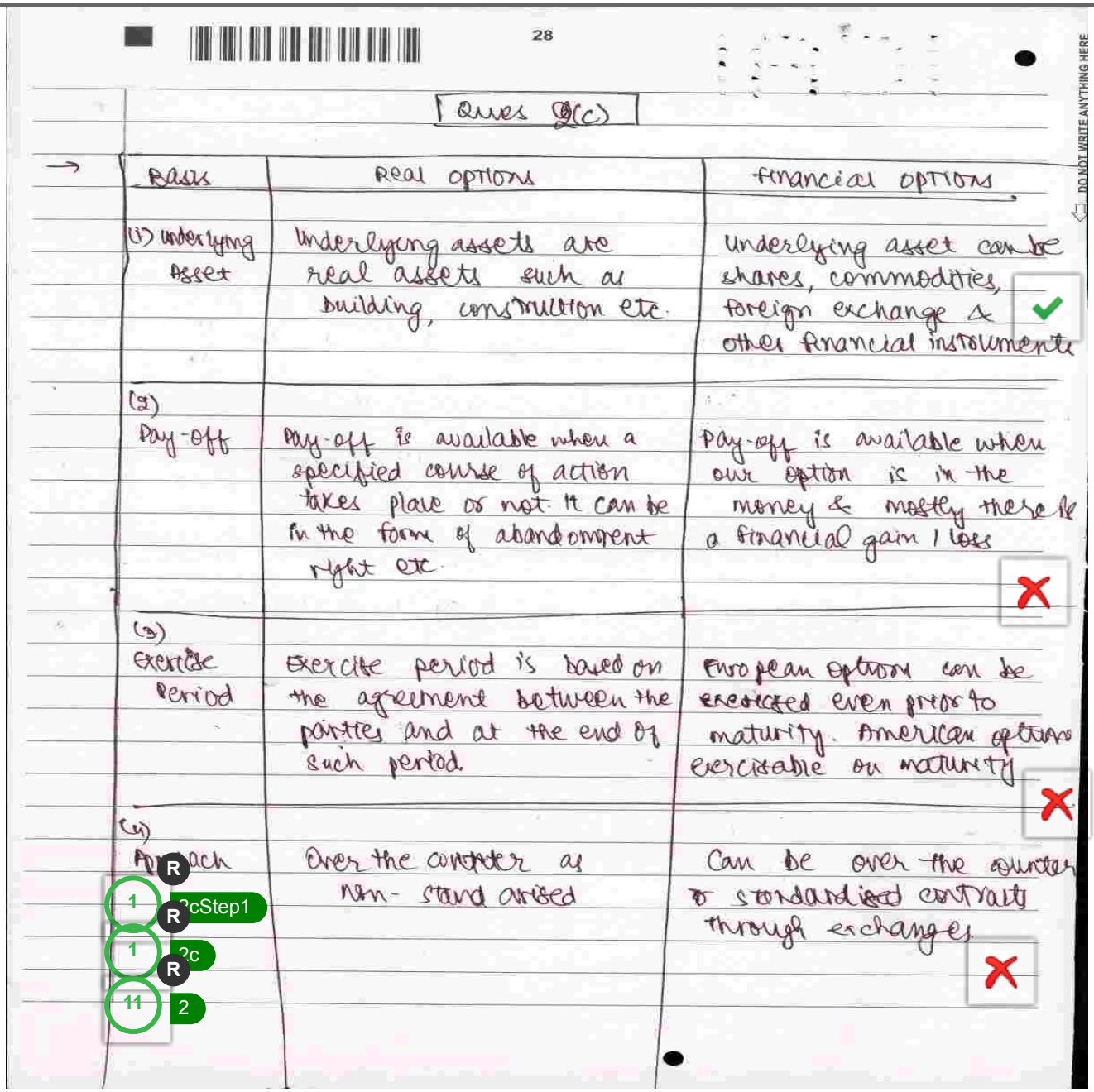
	₹
Amount to meet WC expansion	800
(+) Amount to meet fixed Assets (5320 - 4000)	1320
	1520
(-) Amount accrued internally	(147)
Through Debt →	1373 Cr.

R
4 2b

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Code:	FN2AF102248	Total Marks:	70
Subject :	02 Advanced Financial Management	Marks Obtained :	54





28

Ques 2(c)

Basis	Real options	Financial options
(i) Underlying Asset	Underlying assets are real assets such as building, construction etc.	Underlying asset can be shares, commodities, foreign exchange & other financial instruments
(ii) Pay-off	Pay-off is available when a specified course of action takes place or not. It can be in the form of abandonment right etc.	Pay-off is available when our option is in the money & mostly there is a financial gain / loss
(iii) Exercise Period	Exercise period is based on the agreement between the parties and at the end of such period.	European option can be exercised even prior to maturity. American options exercisable on maturity
(iv) Approach	Over the counter as non-standardised	Can be over the counter & standardised contracts through exchanges

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2102248-01

Addl. Book No. ..... 1 .....

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

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Ques 4(a)

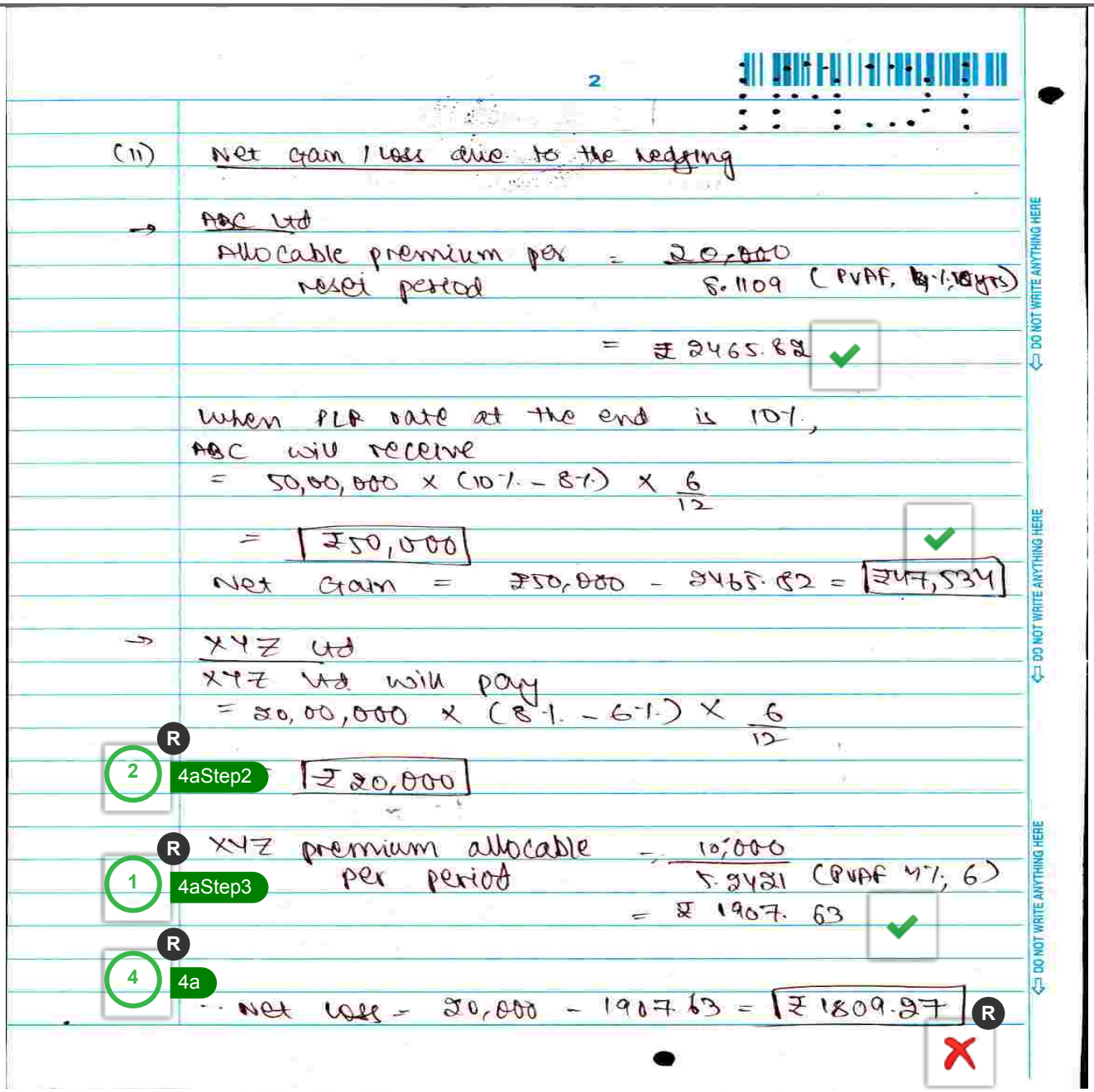
(i) ABC Ltd is a borrower, hence ABC Ltd should buy a cap option at the strike price of 8% to mitigate the risk of interest rate rise. ✓

R 1 4aStep1 XY Ltd is a ~~borrower~~, depositor hence XYZ should sell the cap option to the mitigate the risk of interest rate fall ✗

(ii) Premium paid/received based on the strategy

ABC Ltd
Premium to be paid = ₹ 50,00,000 × 0.40% = ₹ 20,000 ✗

XYZ Ltd
Premium to be received = ~~₹20~~,00,000 × 0.50% = ₹ 10,000



2

(11) Net Gain / Loss due to the hedging

→ ~~ABC~~ Ltd

Allocable premium per reset period = 20,000 / 5.1109 (PVAF, ~~8%~~ 1, ~~10~~ yrs)

= ₹ 2465.82 ✓

When PLR rate at the end is 10%,

~~ABC~~ will receive

= 50,00,000 × (10% − 8%) × 6/12

= ₹50,000 ✓

Net Gain = ₹50,000 − 2465.82 = ₹47,534

→ XYZ Ltd

XYZ Ltd will pay

= 20,00,000 × (8% − 6%) × 6/12

R 2 4aStep2 ₹20,000

R XYZ premium allocable per period = 10,000 / 5.2421 (PVAF 4%, 6)

1 4aStep3 = ₹ 1907.63 ✓

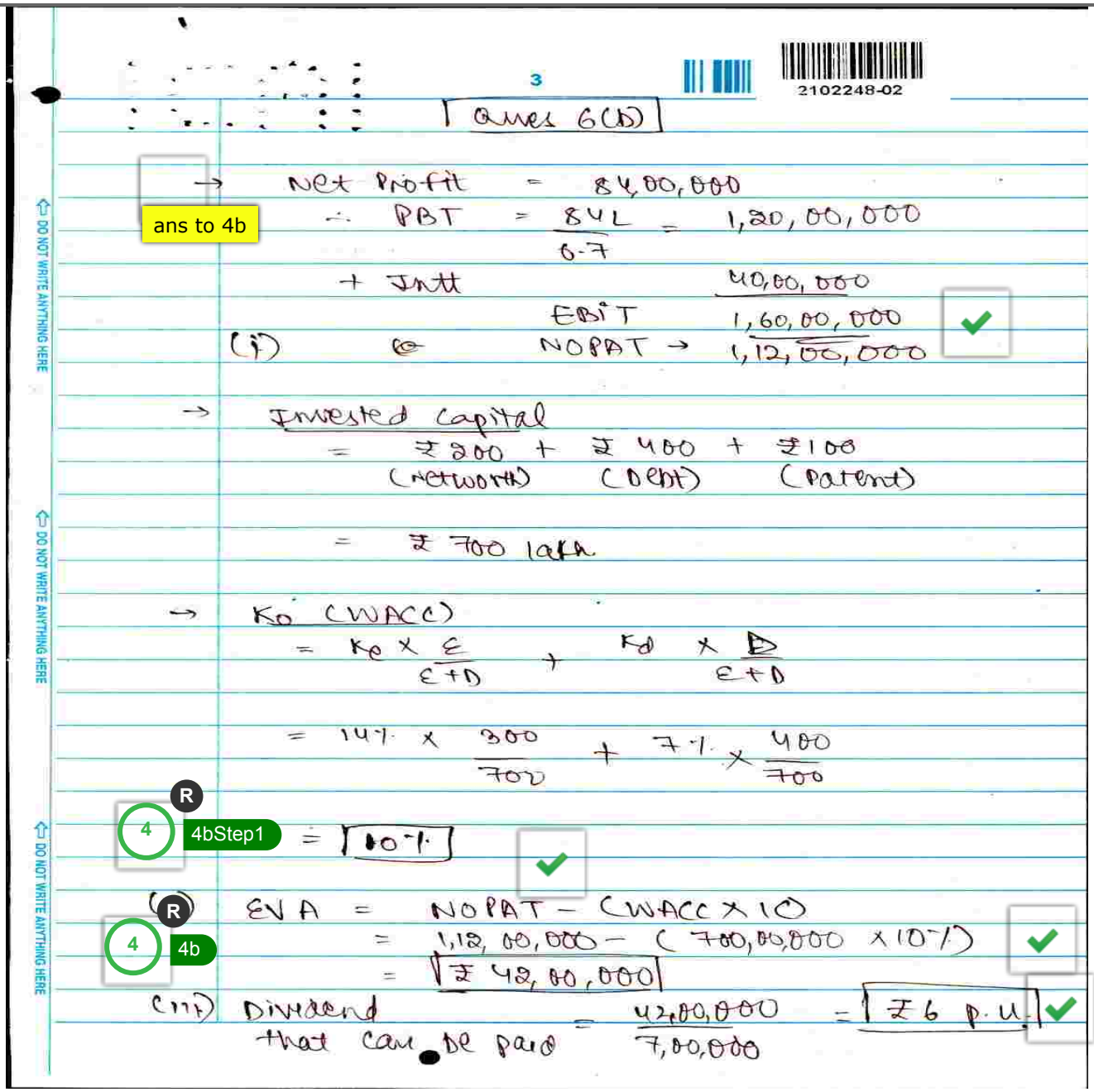
R 4 4a

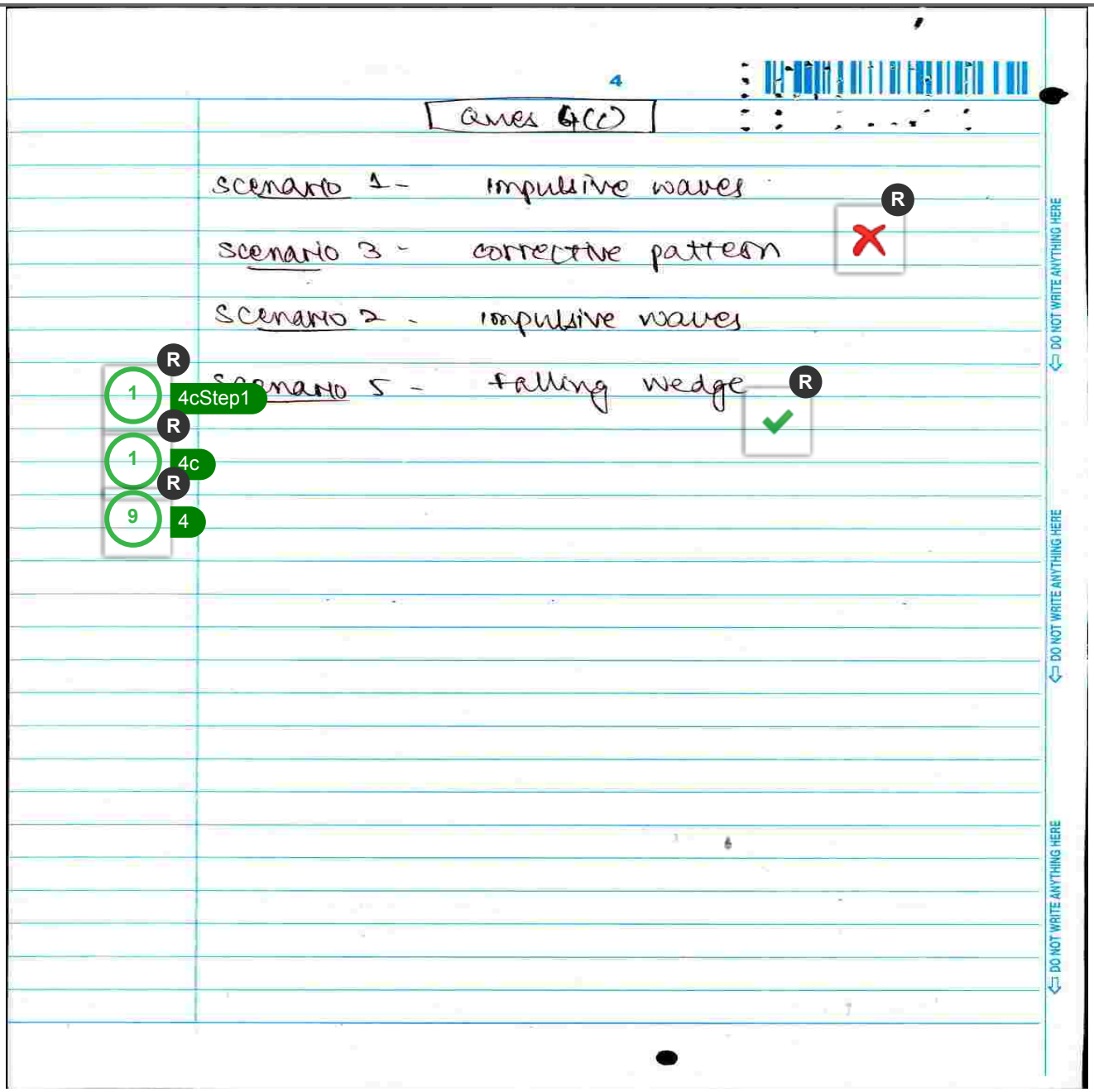
∴ Net Loss = 20,000 − 1907.63 = ₹18092.37 R ✗

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3
2102248-02
Ques 6(b)
ans to 4b
Net Profit = 84,00,000
∴ PBT = 84L / 0.7 = 1,20,00,000
+ Intt 40,00,000
EBIT 1,60,00,000
(i) @ NOPAT → 1,12,00,000
Invested capital
= ₹200 + ₹400 + ₹100
(Networth) (Debt) (Patent)
= ₹700 lakh
Ko (WACC)
= Ke × E/(E+D) + Kd × D/(E+D)
= 14% × 300/700 + 7% × 400/700
4 4bStep1 = 10%
EVA = NOPAT − (WACC × I)
= 1,12,00,000 − (700,00,000 × 10%)
4 4b = ₹ 42,00,000
(ii) Dividend that can be paid = 42,00,000 / 7,00,000 = ₹6 p.u.
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4
Ques 4(c)
Scenario 1 - impulsive waves
Scenario 3 - corrective pattern
Scenario 2 - impulsive waves
Scenario 5 - falling wedge
R
1
4cStep1
1
4c
9
4
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The Institute of Chartered Accountants of India

Code: FN2AF102248 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 54

Result Overview

Awarded Marks: 54 Max Marks:70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 14/14)

Question No	Awarded Marks	Maximum Marks	Status
1	14	14	M
1a	6	6	M
1b	4	4	M
1c	4	4	M

Q2_Q6 (Score: 40/56)

Question No	Awarded Marks	Maximum Marks	Status
2	11	14	M
2a	6	6	M
2b	4	4	M
2c	1	4	M
3	9	14	M
3a	6	6	M
3b	0	4	M
3c	3	4	M
4	9	14	M
4a	4	6	M
4b	4	4	M
4c	1	4	M
5	0	14	O
5a	0	8	O
5b	0	6	O
6	11	14	M
6a	5	6	M
6b	4	4	M

6c	2	4	M